

Pricing, Discount and Promotion Policy

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Purpose

This policy governs how TraceStock AI sets prices, what discounts may be offered and by whom, how markdowns are applied to ageing or seasonal stock, and what margin floors must not be breached. It applies to all four sales channels.

Pricing Principle

Price is set centrally by Commercial. Branches, support agents, and automated systems do not set prices. Any discount is a deviation from a set price and must fall within the authorities described below.

Prices are held in euros and include VAT for consumer channels. B2B prices are quoted excluding VAT. When comparing consumer and b2b revenue, this difference must be stated, or the comparison will overstate consumer performance by roughly the VAT rate.

Margin Floors by Category

No sale may be made below the margin floor without Commercial approval. Floors differ because category economics differ.

Category	Standard margin target	Absolute floor
Laptops	12%	6%
Smartphones	10%	5%
Headphones	30%	18%
Coffee Machines	28%	16%
Office Chairs	35%	20%
Air Conditioners	25%	14%
Space Heaters	25%	14%
Rain Jackets	45%	25%
Running Shoes	40%	22%
Sunscreen	50%	30%

Electronics carry the thinnest margins and the highest revenue share. A percentage discount that is harmless on Sunscreen can push a Laptop below its floor, so discounts must always be evaluated against the category, never applied uniformly across a basket.

Channel Pricing Differences

Channels do not carry the same price or the same cost to serve.

- **online:** reference price. All other channels are described relative to it.
- **retail:** same as online. Branch staff may not undercut the online price.
- **marketplace:** priced at or slightly above online to absorb platform fees,

which range from 8 to 15 percent depending on category. A marketplace sale at the online price is typically below the margin floor once fees are applied.

- **b2b:** tiered by volume, quoted excluding VAT, subject to the floors above

on a per-line basis.

Marketplace pricing that ignores platform fees is the single most common cause of unprofitable revenue in this business. Any margin analysis that treats marketplace revenue as equivalent to online revenue is wrong.

Discount Authority

Discount level	Who may approve	Conditions
Up to 5%	Support agent	Service recovery only, once per customer per case
Up to 10%	Support manager	Must remain above margin floor
Up to 20%	Commercial	Requires stated commercial reason
Above 20%	Head of Commercial	Requires written justification
Below margin floor	Head of Commercial	Clearance or contractual obligation only

Discounts do not stack. Where a customer qualifies for more than one, the larger applies and the others are void. Applying two discounts to reach a level that would otherwise require higher approval is a policy breach.

Promotional Events

Promotions are planned at least four weeks ahead and require confirmed stock cover before launch. A promotion on a product that stocks out in the first two days damages more customer trust than the promotion generates in revenue.

Before any promotion is approved, the following must be confirmed:

- Stock on hand across all four sites, and whether it is positioned where the

demand is expected

- Supplier lead time, in case replenishment is needed mid-promotion
- Margin at the promotional price, per category, against the floor

- Expected uplift, based on recorded history of comparable promotions

Promotions on Class A weather-sensitive categories require an additional check against the forecast for the promotional window. Promoting Air Conditioners into a cold week wastes margin that would have been unnecessary during a heatwave.

Markdown Ladder for Ageing Stock

Stock that is not selling is marked down on a defined ladder rather than ad hoc. Age is measured from the date of receipt at the site.

Age	Markdown	Approval
90 days	10%	Automatic
120 days	20%	Commercial notified
180 days	35%	Commercial approval
270 days	50%	Head of Commercial approval
365 days	Clearance, floor waived	Head of Commercial approval

Seasonal stock follows a compressed ladder. Weather-sensitive stock that has missed its season should be marked down at the end of the season rather than held for the following year, unless storage cost is lower than the expected markdown. Space Heaters held from March to October occupy space that summer stock needs.

Price Change Controls

Price changes take effect at a stated date and time and are never applied retrospectively. A customer who purchased before a price reduction is not entitled to the difference, except where the reduction occurs within 7 calendar days of purchase, in which case support may issue the difference as a goodwill adjustment within their normal authority.

Price errors are handled differently. Where a price is published in error and a customer purchases at that price, the order is honoured if the error is under 15 percent of the correct price. Above that, the order may be cancelled with a full refund and an explanation, and the customer must be told promptly rather than left to discover the cancellation.

Competitive Response

Price matching is not automatic. A match request requires evidence of the competitor price, that the competitor has the item in stock, and that the item is identical rather than a similar model. Matching below the margin floor requires Head of Commercial approval regardless of competitor pricing.

The company does not match marketplace sellers of unknown provenance, nor grey-market imports, because the products are frequently not equivalent in warranty terms.

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